



INCOTERMS

Incoterms came about through the formation of the International Chamber of Commerce (ICC) in the aftermath of World War One. This was at a time during which there was no world order and thus no uniform set of rules that governed trade as well as finance and other related commercial activities. Thus in 1919 a number of individuals, who believing that the private sector should set the global standard, laid the foundation for the organisation that would later become the ICC.

By 1923, the ICC had established the International Court of Arbitration and by 1936, the first edition of Incoterms had been published. Following the end of the Second World War, the ICC became the only private organisation to be granted accreditation to the conference which laid the foundation for the United Nations Charter. The Charter being the foundation treaty of the organisation commonly referred to as the United Nations or UN.

Incoterms are the process by which the worlds terms of trade are conducted. As such the internationalism of them means that parties in various parts of the world can understand what the role is the movement and procurement of items. There are eleven Incoterms in total, with the ICC launching an update every ten years, the below illustrates the latest update from 2020.



Ex works (EXW):

In this instance the entire responsibility lies with the buyer. The seller only has to make the goods available at a designated place which is normally the dispatch address. The seller will make the cargo ready for export but it is taken that the cargo is on the said dispatch/factory floor. All the risks regarding transportation and insurance are the responsibility of the buyer.

Free Carrier (FCA):

This involves the supplier getting the cargo to a named place which is normally an airport and from there handing over the responsibility to the buyer. This is primarily utilized for airfreight, dependent on the place of handover the cargo is generally customs cleared by the supplier in



the country of origin. Responsibility switches to the buyer when the cargo is alongside the plane, prior to it being loaded on the plane

Free on Board (FOB)

This involves the supplier getting the cargo to a named place or port. This Incoterm is utilised primarily for ocean freight. dependent on the place of handover the cargo is customs cleared by the supplier in the country of origin. Responsibility passes to the buyer at the point at which the cargo is placed on board the vessel.

Carriage Paid To (CPT)

In this instance the seller is responsible for getting the cargo to a named place. However the seller responsibility ends once the cargo has reached the said place. As insurance is not covered by this incoterm it is recommend that insurance be taken for the transaction so that the cartage of the cargo is insured via the next incoterm. This is applicable for all transport modes but is used predominantly for air and road transport modes.

Carriage and Insurance Paid to (CIP)

This would be applicable to any mode of transport, whereby the seller is responsible for ensuring the cargo reaches the agreed upon place. However, an important difference is that the cargo is now insured to said destination or named place.

Delivered at Place Unloaded (DPU)

In the previous rendition on Incoterms this was know as Delivered at Terminal (DAT) This assigns the seller the responsibility of delivering the cargo to the agreed upon end point of the cargo journey, which is generally the buyers premises. In this instance the cargo will be



delivered unloaded, but crucially the buyer is responsible for the import customs clearance and related exercise charges in his country.

Delivered at Place (DAP)

This assigns the seller the responsibility of delivering the cargo to the agreed upon end point of the cargo journey, which is generally the buyers premises. In this instance the cargo will be delivered unloaded, but crucially the buyer is responsible for the import customs clearance and related exercise charges in his country.

Delivered at Place Duty Paid (DDP)

This assigns the seller the responsibility of delivering the cargo to the agreed upon end point of the cargo journey, which is generally the buyers premises. In this instance the cargo will be delivered unloaded, but crucially the seller is responsible for the import customs clearance and related exercise charges in the buyers country.

Cost & Freight (CFR)

Although confined to sea freight, the incoterm is straightforward in that that the seller pays for the transport to a named port. The seller is also responsible for all export clearances of the cargo and is responsible for loading of the cargo onto the vessel. The seller is also responsible for the cartage of the goods to said port of destination. However, risk transfers to the buyer



once the goods have been loaded on board the vessel and before the vessel has departed on its journey to the next port. The seller is not responsible adding insurance under this Incoterm.

Cost Insurance and Freight (CIF)

This Incoterm goes a step further than the aforementioned CFR in that the seller pays for the insurance of the cargo on its destination to the said port. However as with all Incoterms that have insurance, the level of cover that would be applicable in the said trade would need to be covered elsewhere in the purchase agreement.

Free Alongside Ship (FAS)

This incoterm is restricted to sea freight and involves the seller being responsible for delivering the cargo alongside the vessel at the named port, with the cargo having been export cleared. The buyer is subsequently responsible for loading the goods and all related costs going forward. This term is mainly utilised for bulk cargo or non-containerized cargo.

Which Incoterm is right for my business?

There are various factors that make this decision a little complicated, however the matter is decided by two key factors in the geopolitics and the level of responsibility one feels comfortable with. As much of Southern Africa's trade is with China and Europe respectively the information provided here will reflect these two trade lanes. When importing from China and the Far East, the sellers will push to have the shipment conducted under CIF or DAP Incoterms. Whilst convenient for the importer in that an all in price is available there are number of hidden clauses to this pricing.



Firstly the actual cost of the item and the cost of the freight is not clear as the invoice is not clear

Secondly the insurance type may not be the all risks cover that as the importer you would expect your supplier to have taken out. In an effort to make the pricing cheaper the insurance may exclude certain clauses

Lastly, in an effort to incentivise its exports, the Chinese government will enable its exports to get exceptional ocean freight rates. However, when it comes to the clearing and de-grouping charges on the South African side the co-loader (LCL cargo) or shipping line may charge higher fees in order to claim back on this supposed discount at origin.

Thus for imports from China and the Far East it is recommended to utilise either FOB or FCA dependant on the transport mode. Unless ones freight forwarder has their own network in China it is recommended to get the Chinese manufacturer to deliver the cargo the relevant port or airport as there a number of restrictions in place with the ever evolving Covid protocol and port restrictions. There is less risk for the buyer in this case

Cargo from Europe and the rest of the world it is recommended to utilise Exworks or FCA terms dependant on the mode of transport. However due care should be taken when moving cargo from certain countries such as Brazil and other parts of Central America where the local legislation or bureaucracy makes it better to get the supplier to organise the movement of the cargo from factory to airport or port.